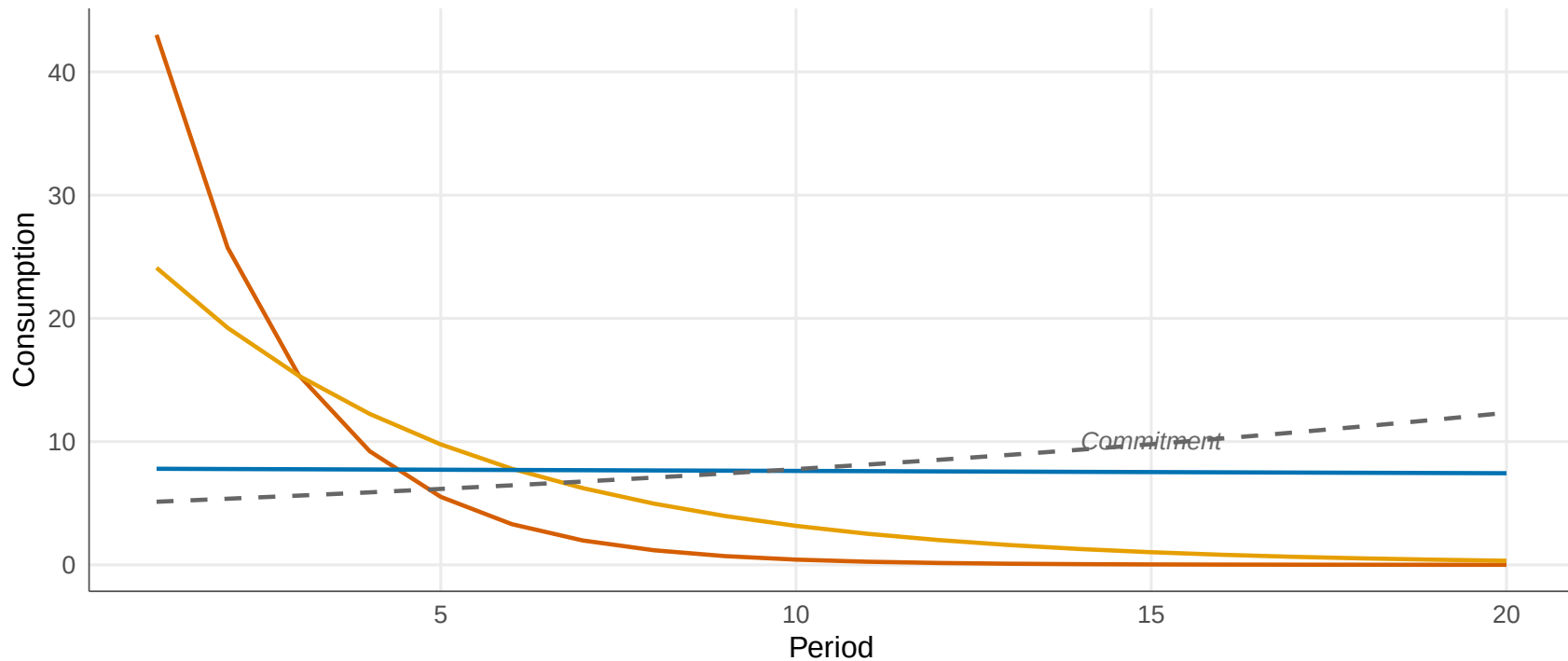


Consumption paths: present bias vs exponential discounting

$T = 20$ periods, $\delta = 0.95$, $R = 1.05$, $W_0 = 100$



Discounting type — $\beta = 0.6$ — $\beta = 0.8$ — $\beta = 1$